

Palantir Technologies Inc.

PLTR NYSE

Hold	\$185.44 ▼ 1.09%	12M Price Target \$210.00	52-Week Range \$106.37 – \$207.52	Market Cap \$445.62B
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PLTR: Cooling Off But Policy Winds Still Blowing

WHAT HAPPENED

- PLTR drifted down another 1% on unusually light volume (~6.5M shares vs the usual 20M+) — that's not panic selling, that's just buyers stepping back. Five straight down days from \$192 to \$185, which tells me profit-taking after the huge run from the \$106 low, not a fundamental problem.
- A director (Alex Moore) sold ~\$2M in stock mid-September. Not alarming on its own — directors sell for personal reasons — but no insiders are buying either, meaning nobody at the top thinks these prices are a bargain.

WHY IT MATTERS

The light-volume slide matters more than the price itself — when a stock falls on fading interest rather than heavy selling, it usually means the market is waiting for a catalyst (earnings, a contract, a policy headline) before deciding what to do next. With PLTR trading at 78% of its 52-week range and roughly 90x forward sales, the bar for "good news" is extremely high — anything less than blowout numbers gets sold. The options market is basically neutral (put/call at 0.91), but that unusual \$165 put buying tells me some big players are hedging downside into October — worth watching. Bigger picture: the Trump administration's continued push on AI-for-government (DOGE efficiency mandates, DoD AI adoption, ICE/immigration data contracts) is a structural tailwind that hasn't gone away — this pullback is about valuation, not the story breaking.

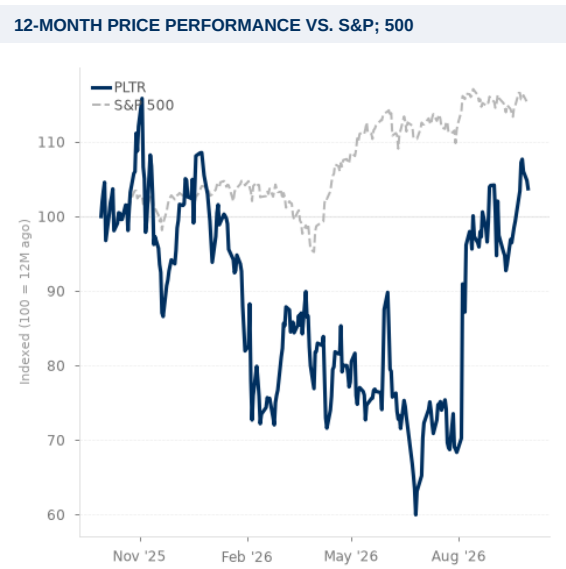
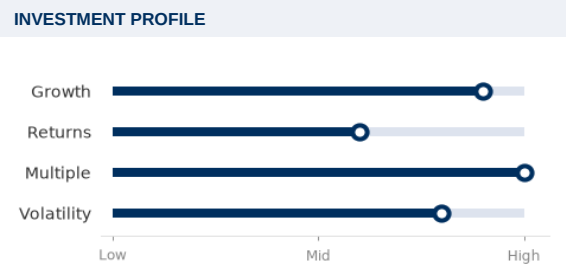
POLICY & POLITICAL WATCH

The FY2027 defense budget negotiations are heating up in Congress right now, and the AI/software modernization line items are where PLTR lives — if the final bill preserves or expands the Chief Digital and AI Office (CDAO) budget, PLTR's government revenue runway extends meaningfully. Also watch the ongoing debate around federal AI procurement reform — a proposed executive order that would streamline software acquisition (skipping the traditional 18-month cycle) would disproportionately benefit incumbents like Palantir that already have Authority to Operate on classified systems. Headwind to watch: any Democratic pushback on ICE contracts or civil liberties concerns tied to Gotham could create headline risk, though it's unlikely to move revenue.

IS IT EXPENSIVE?

This is the elephant in the room — PLTR trades around 90x next year's revenue and ~250x forward earnings, meaning you're paying \$250 for every \$1 of profit the company is expected to make. For context, even Nvidia trades at a fraction of that multiple. The only way this math works is if revenue keeps growing 40%+ for several more years AND margins expand — possible, but there's zero room for a stumble.

Key Data	
Price (USD)	\$185.44
12M Price Target	\$210.00
Upside / (Downside)	+13.2%
Market Cap	\$445.62B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.72
FY2027E EPS	\$0.98
Fwd P/E	257.5x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$205.00	\$188.00	\$165.00
6 Months	\$240.00	\$200.00	\$150.00
1 Year	\$270.00	\$210.00	\$130.00
2 Years	\$340.00	\$240.00	\$110.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$800.00	\$400.00	\$60.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities leading (+0.98%) — that's a defensive move, meaning money is playing it safe. Also tied to the AI power-demand story (data centers need electricity), so it's not purely fear.

COOLING OFF: Real Estate (-2.99% weekly) and Tech (-0.97%) — rates staying higher-for-longer is hurting rate-sensitive sectors, and tech is taking a breather after a huge summer run.

ROTATION WATCH: Money is quietly rotating out of high-multiple growth (PLTR fits here) into defensives and utilities — classic late-cycle behavior when investors want AI exposure without paying nosebleed prices.

RELATED PLAY: If you want AI exposure without PLTR's valuation, look at the data center/power infrastructure names (VST, CEG) — they're the "picks and shovels" beneficiaries of the same AI spending wave.

WHO'S WINNING IN THIS SPACE?

- ORCL (Oracle): Winning on massive cloud infrastructure deals tied to AI training — direct competitor for some enterprise AI workloads.
- NVDA (Nvidia): Still the default AI trade — chips are the shovels everyone needs.

PLTR CONTEXT: PLTR is lagging the broader AI trade this past week after leading it for months — this is normal digestion after a huge run. The tell will be whether it holds \$180 support; break that and \$165 is in play. Hold it and this is just a healthy pause before the next leg.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business and the policy backdrop, but I can't pound the table at 90x sales; the story is right, the price is stretched.

POSITION SIZE: 2-4% max — this is a volatile name where a bad quarter can cost you 25%, so size it like a high-conviction bet you can afford to be wrong on.

ENTRY POINTS: I'd wait for \$165-170 to add — that lines up with where big put buyers are positioning and represents a healthy 10%+ pullback.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is the FY2027 defense budget clarity (Q1 2027) and two more quarters of 40%+ commercial growth to justify the multiple.

WHEN TO BAIL: If commercial revenue growth drops below 40% YoY, or if they lose a major DoD program, I'm cutting the position in half immediately.

HEDGING: Simplest approach — buy some downside protection (puts) around the \$165 level for a few months out, costs you a small premium but caps your loss if the whole AI trade rolls over.